

countries, we will learn how to evolve our core products for the rest of the world," says Gupta. Since then, better mobile connectivity and affordable data costs have led to large-scale adoption of smartphones, adding fuel to Google's strategy for the country.

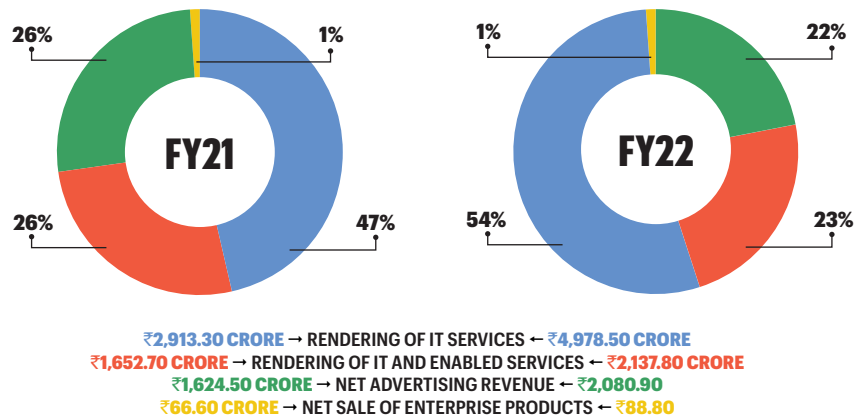
It has adopted an India-first approach for several products. In Maps, for instance, improvisations include a two-wheeler mode, mixed-mode transit (while looking for public transit routes, this feature combines autorickshaw options with public transport recommendations on the same journey) and driving directions by landmarks. Maps in offline mode were built for India and are now used in other parts of the world. Gupta cites others like Files by Google (an Android app to manage files), YouTube offline or the reading tutor app, Bolo (now called Read Along), which is now a global app.

Perhaps one of the biggest plays in India is the indigenous Google Pay or GPay, the UPI-based mobile payments system. "I really can't remember the last time I carried my wallet," says Gupta. Millions of merchants and many multiples of consumers use GPay for all sorts of cashless payments—from buying milk or tomatoes, to paying monthly salaries to the domestic help, to paying the fare to the autorickshaw driver, or to just make an online payment for anything. GPay is India's second-biggest UPI app (after PhonePe) in terms of both transaction volume and value. Last December, data from National Payments Corporation of India shows that GPay handled 2.7 billion transactions worth ₹4.4 lakh crore.

ADVERTISING IS THE company's most visible form of revenue generation. In FY22, it clocked close to ₹25,000 crore in gross advertisement revenue. According to

REVENUES DECODED

How Google India's revenue is divided across businesses



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advertising industry trackers, of this, Google Search ads accounted for over ₹8,500 crore, GDN ₹3,500 crore, and YouTube, more than ₹12,000 crore. But then, that money is 'gross' revenue, which means it is split with a host of people Google works with. After deducting the payouts to partners, Google's net ad revenue level for FY22 is only ₹2,080 crore (comparatively, Facebook in India made ₹2,309 crore through advertising). The balance—and the bulk of revenue that forms Google's FY22 total revenue of ₹9,286 crore—came through areas such as rendering IT services and IT-enabled services, where it doesn't have to share monies with anyone.

So, Google's story in India is not merely about advertising. "It dominates search, video, payments, maps, and it is well-positioned here especially when factors such as low penetration levels, overall economic growth rate and the growth in advertising work in its favour," says Jaspreet Bindra, Founder of Tech Whisperer UK, a digital transformation and tech advisory. "An India becoming

more digital with the likes of UPI and Aadhaar can only benefit Google."

But it's hardly going to be a walk in the park. Take the case of public cloud services. A report by IDC says the public cloud market in India will grow at a CAGR of 23.1 per cent for 2021-2026 to \$13 billion. In January-June 2022, the market size was \$2.8 billion. Estimates from tech tracking firms suggest Amazon Web Services (AWS) and Microsoft Azure have cornered 45-50 per cent of this market, with Google a distant third. But then, historically, Google has been in consumer-facing businesses. Cloud, on the other hand, is a pure B2B play, but one that Google is dead serious about. Globally, the strategy for Google Cloud is to invest in building solutions for verticals such as banking and financial services, telecom, retail, healthcare, and government-owned entities. "As cloud computing became a mainstream technology, we saw an opportunity to offer this to our potential customers," says Bikram Singh Bedi, Managing Director of Google Cloud India. "It was a way